As a proportion of GDP, *tax receipts* moderated in 2008-09 and 2009-10 and together with stable non-tax receipts helped in fiscal consolidation notwithstanding a small rise in 2011-12. With the exception of 2009-10, the combined position of states in terms of *revenue deficit* has been one of ***surplus***.

Besides, what is noteworthy is that there has been an improvement in the *quality of expenditure* with a rise in capital expenditure to GDP ratio and development expenditure. However, as with many other economic indicators, there are large inter-state variations in the attainments in terms of fiscal outcome.

One concern arising from state finances is that there is incomplete information on extra-budget activities and quasi-fiscal activities. The ***RBI's Study of State Budgets 2012-13*** has indicated that notwithstanding the information gap, fiscal transparency at state government levels has increased. One of the main problems with states' finances is in the financial health of the ***power distribution*** companies, which continue to accumulate huge losses [estimated at Rs. 1,90,000 crore at end-March 2011] – mainly on account of:

(i) Non-revision of tariffs,

(ii) Subsidy arrears,

(iii) High aggregate and technical losses, and

(iv) the high cost of buying short-term power.

Thus, continued reform initiatives are critical for maintaining sound finances of the states – recently *(mid-April 2013)*, the GoI approved a loan component to the loss-making state electricity boards (SEBs) for the 'restructuring and reforms' of their power sectors.

SPECIAL CATEGORY STATES

The term Special Category States (SCS) has been in ***news*** for the past many years, specially since a new state of Jharkhand was carved out of the then Bihar – the new Bihar has been demanding such a status from the Centre – the present government in Bihar has always put this demand – before the General Elections of 2014, the government there put a